

any substantial rise in the value of the common stock. The issuer is able to raise capital at a moderate interest or preferred dividend cost, and if the expected prosperity materializes the issuer will get rid of the senior obligation by having it exchanged into common stock. Thus both sides to the bargain will fare unusually well.

Obviously the foregoing paragraph must overstate the case somewhere, for you cannot by a mere ingenious device make a bargain much better for both sides. In exchange for the conversion privilege the investor usually gives up something important in quality or yield, or both. ¹ Conversely, if the company gets its money at lower cost because of the conversion feature, it is surrendering in return part of the common shareholders' claim to future enhancement. On this subject there are a number of tricky arguments to be advanced both pro and con. The safest conclusion that can be reached is that convertible issues are like any other *form* of security, in that their form itself guarantees neither attractiveness nor unattractiveness. That question will depend on all the facts surrounding the individual issue.*

We do know, however, that the group of convertible issues floated during the latter part of a bull market are bound to yield unsatisfactory results as a whole. (It is at such optimistic periods, unfortunately, that most of the convertible financing has been done in the past.) The poor consequences must be inevitable, from the timing itself, since a wide decline in the stock market must invariably make the conversion privilege much less attractive—and often, also, call into question the underlying safety of the issue itself.† As a group illustration we shall retain the example used in our first edition of the relative price behavior of convertible and straight (nonconvertible) preferreds offered in 1946, the closing year of the bull market preceding the extraordinary one that began in 1949.

TABLE 16-1 Price Record of New Preferred-Stock Issues Offered in 1946